# PABRAI INVESTMENT FUNDS

1220 Roosevelt, Suite 200
Irvine, CA 92620-3667
USA

Tel. +1949.453.0609
mp@pabraifunds.com
www.pabraifunds.com

** UPDATED 2/27/2012 for Annual Meeting Date Change – see page 7 and 8.**

To: All Limited Partners and Investors of the Pabrai Investment Funds

From: Mohnish Pabrai, Managing Partner

Date: January 13, 2012

Re: **2011 Results et. al.**

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Dear Partners:

Happy New Year!

Dec. 31 was the annual redemption date. A total of $20.5 Million was redeemed from the various funds. The redemptions are on a per fund basis:

PIF2: $3.3 Million PIF3: $4.9 Million PIF4: $12.3 Million

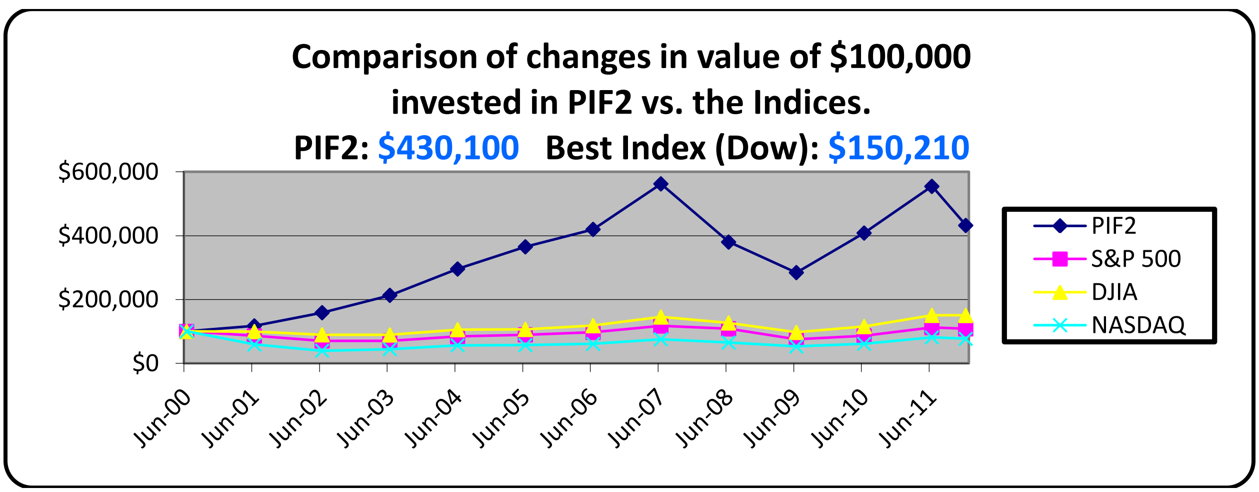
Included in the above redemptions is $2 Million from PIF2 by Dalal Street, Inc. This is Pabrai family redemptions to cover residual 2011 taxes, non-reimbursed Pabrai Funds operating expenses and future contributions to The Dakshana Foundation. I chose to redeem all of it from PIF2 as it is the fund with the largest Pabrai family stake – thus making the absolute amounts invested in PIF2 and PIF4 by the family more balanced.

The funds are closed to additions at this time (from existing and new investors). However, as an exception, my family and the retirement plan for Dalal Street, LLC are allowed to add funds. If and when the funds reopen to new funds/investors, it will be mentioned in the letter to partners.

The updated performance numbers on all the funds are:

**PABRAI INVESTMENT FUND 2 (US Accredited Investors) Performance Summary:**

| | DJIA | NASDAQ | S&P 500 | PIF2 (net to investors) |
|---|---|---|---|---|
| 10/1/00 – 6/30/01 | **-0.2%** | **-41.0%** | **-14.0%** | **+17.4%** |
| 7/1/01 – 6/30/02 | **-10.3%** | **-32.7%** | **-18.0%** | **+35.3%** |
| 7/1/02 – 6/30/03 | **-0.5%** | **+11.4%** | **+0.3%** | **+34.2%** |
| 7/1/03 – 6/30/04 | **+18.6%** | **+26.8%** | **+19.1%** | **+38.7%** |
| 7/1/04 – 6/30/05 | **+0.7%** | **+1.1%** | **+6.3%** | **+23.4%** |
| 7/1/05 – 6/30/06 | **+11.1%** | **+6.5%** | **+8.6%** | **+15.0%** |
| 7/1/06 – 6/30/07 | **+23.0%** | **+20.7%** | **+20.6%** | **+34.0%** |
| 7/1/07 – 6/30/08 | **-13.3%** | **-11.2%** | **-13.1%** | **-32.4%** |
| 7/1/08 – 6/30/09 | **-23.0%** | **-19.1%** | **-26.2%** | **-25.2%** |
| 7/1/09 – 6/30/10 | **+18.9%** | **+16.0%** | **+14.4%** | **+43.6%** |
| 7/1/10 – 6/30/11 | **+30.4%** | **+32.9%** | **+30.7%** | **+35.8%** |
| 7/1/11 - 12/31/11 | **-1.5%** | **-7.0%** | **-5.1%** | **-22.4%** |
| 1/1/11 – 12/31/11 | **+8.4%** | **- 0.8%** | **+2.1%** | **-22.0%** |
| **Annualized** | **+3.7%** | **-2.3%** | **+0.7%** | **+13.8%** |
| **Cumulative** | **+50.2%** | **-23.0%** | **+8.3%** | **+330.1%** |

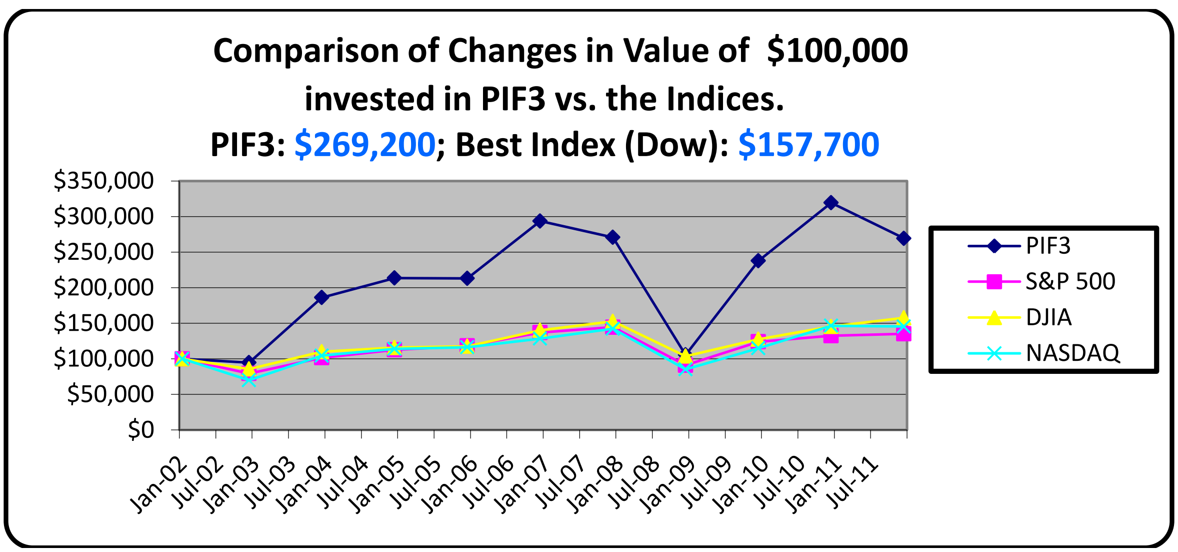



**PIF2 Investors:**

A $100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 ($197,900) was worth $602,600 as of December 31, 2011 (net to investors). This equates to an annualized return of 15.4% since inception – after all management fees and expenses. The best index over the same period was the Dow and an investment of $100,000 in the DJIA on July 1, 1999 was worth $148,700 on December 31, 2011 – an annualized gain of 3.2%. The Dow gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

**PABRAI INVESTMENT FUND 3 (Offshore/IRA Investors) Performance Summary:**

| | DJIA | NASDAQ | S&P 500 | PIF3 (net to investors) |
|---|---|---|---|---|
| 2/1/02 – 12/31/02 | **-14.1%** | **-29.9%** | **-20.4%** | **-5.2%** |
| 1/1/03 – 12/31/03 | **+28.3%** | **+50.8%** | **+28.7%** | **+96.5%** |
| 1/1/04 – 12/31/04 | **+5.3%** | **+9.2%** | **+10.9%** | **+14.7%** |
| 1/1/05 – 12/31/05 | **+1.7%** | **+2.1%** | **+4.9%** | **-0.2%** |
| 1/1/06 – 12/31/06 | **+19.0%** | **+10.4%** | **+15.8%** | **+37.8%** |
| 1/1/07 – 12/31/07 | **+8.9%** | **+10.7%** | **+5.5%** | **-7.8%** |
| 1/1/08 – 12/31/08 | **-31.9%** | **-39.9%** | **-37.0%** | **-60.9%** |
| 1/1/09 – 12/31/09 | **+22.7%** | **+45.4%** | **+26.5%** | **+125.0%** |
| 1/1/10 – 12/31/10 | **+14.1%** | **+18.2%** | **+15.1%** | **+34.4%** |
| 1/1/11 – 12/31/11 | **+8.4%** | **-0.8%** | **+2.1%** | **-15.7%** |
| **Annualized** | **+4.7%** | **+3.9%** | **+3.1%** | **+10.5%** |
| **Cumulative** | **+57.7%** | **+45.5%** | **+35.3%** | **+169.2%** |

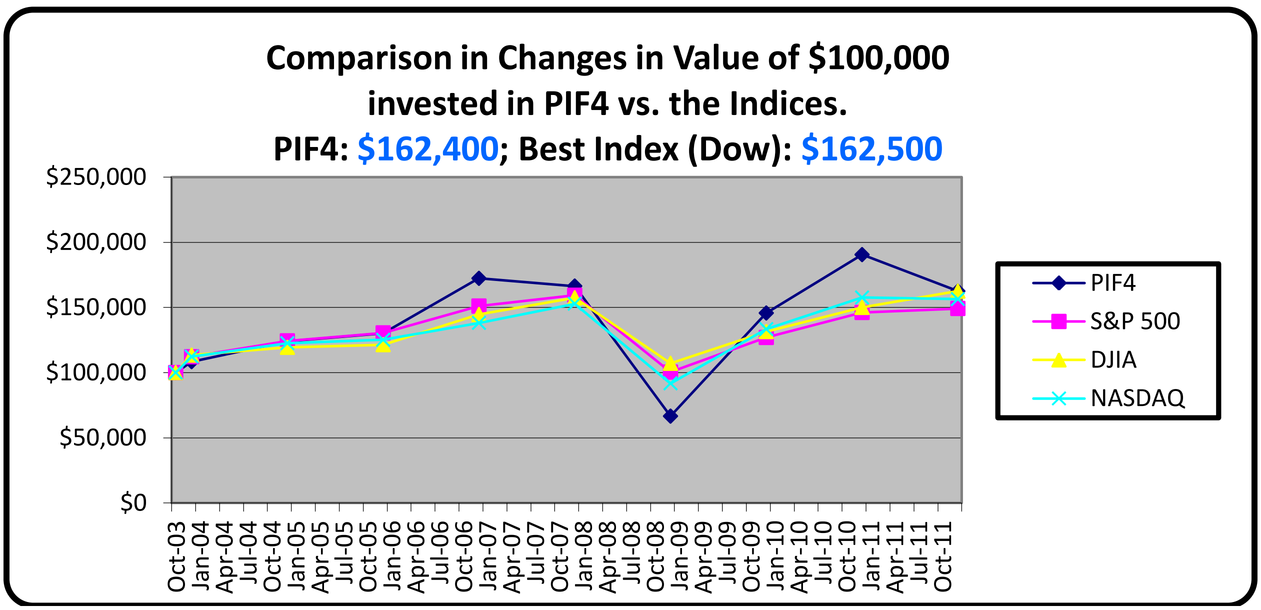



**PIF3 Investors:**

A $100,000 investment in PIF3 at inception on February 1, 2002 was worth $269,200 as of December 31, 2011 (net to investors). This equates to an annualized return of 10.5% since inception. The best index over the same period was the Dow and an investment of $100,000 in the DJIA on February 1, 2002 was worth $157,700 on December 31, 2011 – an annualized gain of 4.7%. The Dow gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as Jan. 1, 2002 for readability. The correct start date is Feb. 1, 2002.

## PABRAI INVESTMENT FUND 4 (US Qualified Investors) Performance Summary:

| | DJIA | NASDAQ | S&P 500 | PIF4 (net to investors) |
|---|---|---|---|---|
| 10/1/03 – 12/31/03 | **+13.4%** | **+12.3%** | **+12.2%** | **+8.4%** |
| 1/1/04 – 12/31/04 | **+5.3%** | **+9.2%** | **+10.9%** | **+14.4%** |
| 1/1/05 – 12/31/05 | **+1.7%** | **+2.1%** | **+4.9%** | **+4.9%** |
| 1/1/06 – 12/31/06 | **+19.0%** | **+10.4%** | **+15.8%** | **+32.4%** |
| 1/1/07 – 12/31/07 | **+8.9%** | **+10.7%** | **+5.5%** | **-3.4%** |
| 1/1/08 – 12/31/08 | **-31.9%** | **-39.9%** | **-37.0%** | **-60.0%** |
| 1/1/09 – 12/31/09 | **+22.7%** | **+45.4%** | **+26.5%** | **+118.8%** |
| 1/1/10 – 12/31/10 | **+14.1%** | **+18.2%** | **+15.1%** | **+30.7%** |
| 1/1/11 – 12/31/11 | **+8.4%** | **-0.8%** | **+2.1%** | **-14.8%** |
| **Annualized** | **+6.1%** | **+5.6%** | **+5.0%** | **+6.1%** |
| **Cumulative** | **+62.5%** | **+56.4%** | **+49.2%** | **+62.4%** |




**PIF4 Investors:**

A $100,000 investment in PIF4 at inception on October 1, 2003 was worth $162,400 as of December 31, 2011 (net to investors). This equates to an annualized gain of 6.1% since inception. The best index over the same period was the Dow and an investment of $100,000 in the DJIA on October 1, 2003 was worth $162,500 on December 31, 2011 – an annualized gain of 6.1%. The Dow gains include reinvested dividends.

## General Comments

All three funds underperformed the indices by substantial margins in 2011. It is our largest underperformance versus the indices in any year since inception. While it is best not to fixate on single year performance numbers, it is worth delving into the reasons why we were off by 14-30% against the indices last year.

2011 was a year when we were presented with some amazing opportunities by Mr. Market. We sold appreciated positions and took full advantage of the situation by investing in a few great businesses at big discounts to intrinsic value. And then we watched those prices drop further – pretty substantially – after we owned a full position.

The funds put very significant amounts to work in businesses like Bank of America, Citigroup and Goldman Sachs. All of them, and others, ended the year well below our average buy price. The positions we sold either stayed flat or went up further – what else is new ☺. As a result, we look pretty dumb – for now.

However, I feel great about our situation. We *made* a lot of money in 2011. Those $$$ are just not visible today. The odds are very high that those dollars will be very visible over the next 1-3 years. We similarly made lots of money in Q408 and Q109 as the funds hit multi-year lows. We could not see it then, but it became apparent and fully visible in a few short months.

From March 1, 2009 to Dec. 31, 2009, PIF3's per unit NAV went up by 157%. We hardly took any actions in that period to make that happen. We did take *a lot* of actions just before that period - between November 2008 and February 2009 that were fundamentally responsible for the dramatic rise.

Some of the businesses we bought into (for the first time) during that period were:

| **Business Name** | **Returns through Exit or 12/31/11** |
|---|---|
| Cresud | ~100+% |
| Goldman Sachs | ~50% |
| Horsehead Holdings | >300% |
| London Mining | 360% |
| Potash Corp. | >100% |
| Teck Cominco | 763% |
| Wells Fargo | >250% |

Many of the above names aren't household names. Nonetheless, we made a lot of money on each of the above eclectic bets. And today I feel that there is very little need to make big changes to the portfolio. It is a substantially undervalued, high quality group of businesses. The bases are loaded. We just have to sit and watch the show for the next few years. It would not surprise me at all to see the per unit NAV for all three funds double over the next 1-3 years.

The funds delivered robust returns from 1999 through 2007. This was followed by four lean years (2008-2011). All the data suggests that we are on the cusp of returning to a sustained period of robust returns. It is indeed a blessing to have this wonderful group of patient, long-term investors who acted so honorably during our lean years. You're the best set of investors any investment manager could hope to have.

The funds have indeed tested your patience over the last four years and I believe you'll be amply rewarded for it.

**Ben Graham Centre's 2012 Value Investing Conference**

On April 25, 2012 The Ben Graham Centre for Value Investing will hold a value investing conference of interest to individual investors and practicing professionals in the investment management industry at the Board of Trade, First Canadian Place, Toronto. I am presenting at this conference and the topic is "Ben Graham's net-nets are alive, well and working in 2012".

Here is the link to the conference:

http://www.bengrahaminvesting.ca/Outreach/2012_conference.htm

**2011 Annual Meeting Transcript**

The 2011 Annual Meeting slides are already posted on our website and the transcript will be posted in February. Here is the link to the transcript:

http://www.pabraifunds.com/website/2011_PIF_AM_Transcript.pdf

The transcript is best read in conjunction with the slides:

http://www.pabraifunds.com/website/2011_PIF_AM_Slides.pdf

**Annual Report – Will be out in April, 2012**

The annual report is slated to be published in late April, 2012 – after the audit reports are out. We'll continue to have 4 quarterly letters like this one. However, general commentary in these quarterly missives is now minimal.

**Alignment of Interests**

All three funds are below their historic NAVs and hence no fees were earned by any of the funds for the quarter. My immediate family has a stake of 372,782 units of PIF2; 8,417 units of PIF3; 1,224,824 units of PIF4 and about 33,000 units of PIF4 in a retirement account. This stake is worth over $34 Million.

Besides the previously disclosed stake and small investment in Dardashti Capital (worth about $1 Million), my family has no interests in any other mutual funds, hedge funds or private equity funds. I have a deep vested interest in the future performance of Pabrai Funds.

Pabrai Funds charges no management fee, just performance fees – which are ¼ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. Our interests are completely aligned. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the single largest investor in the funds.

**Final K-1's (for US Investors)**

For PIF2 and PIF4 investors, we expect your final K-1s to be emailed to you (password protected) by March 31, 2012.

**2012 Annual Meetings – Save the Date: *****2/27/2012 UPDATE FOR DATE CHANGE ***

As is our usual modus operandi, there will be two annual meetings sequentially at Orange County, California & Chicago, Illinois.

The **California** meeting is scheduled to be on **Saturday, Sept. 15, 2012** at 4:00 PM at a new venue:

Soka University
Performing Arts Center
1 University Drive, Aliso Viejo, California 92656 Tel. +1949.480.4000

Soka University has a spectacular campus nestled in the scenic hills of Aliso Viejo. It is a 20 minute drive from Orange County Airport (SNA), and about an hour drive from LAX. There is a fantastic Marriott Club Sport hotel about 3 miles from Soka University:

Marriott Renaissance ClubSport
50 Enterprise
Aliso Viejo, CA 92656
Reservations:  800-468-3571
Phone:  949-643-6700

Soka's Performing Arts center is brand new and amazing. We think you'll be very happy with the change.

The Chicago meeting is thus scheduled to be on **Saturday, Sept. 22, 2012** at 4:00 PM at

Carlucci's Restaurant
(The Auditorium)
6111 North River Road, Rosemont, Illinois 60018     Tel. +1847.518.0990

Carlucci's is a five minute taxi ride away from O'Hare airport. The Marriott Suites O'Hare and The Westin O'Hare are both next to the restaurant. In addition, there are a plethora of hotels in the vicinity. Good deals on O'Hare hotels are usually available on the major travel-related websites.

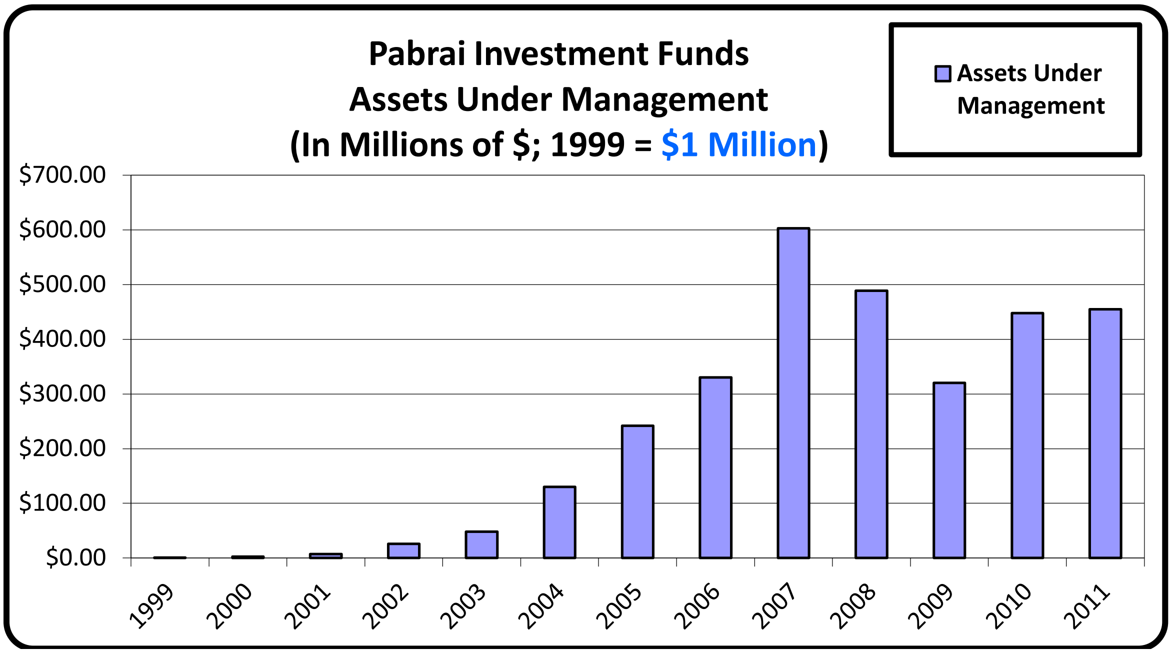
Agenda:

| | |
|---|---|
| 4:00 – 4:30 PM: | Meet and Greet |
| 4:30 – 6:30 PM: | Presentation and Q&A |
| 6:30 – 7:15 PM: | Cocktail Hour |
| 7:15 PM: | Dinner |

The invites will go out in July, 2012. Your significant other and kids of all ages are welcome to attend. I look forward to seeing you in September.

**Assets Under Management**

There is over $455 Million in assets under management between all the funds as of January 1, 2012.




Thanks for your continued interest, referrals and support. Feel free to call me at +1949.453.0609 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

## Appendix

**PIF2's Performance History (Net to Investors)**

| No. of Units | Date | PIF2 NAV |
|---|---|---|
| 110,000 | 10/1/2000 | $10.00 |
| 330,014 | 6/30/2001 | $11.74 |
| 1,027,795 | 6/30/2002 | $15.89 |
| 1,950,982 | 6/30/2003 | $21.32 |
| 2,445,212 | 6/30/2004 | $29.58 |
| 2,696,687 | 6/30/2005 | $36.52 |
| 2,646,687 | 6/30/2006 | $41.99 |
| 3,013,111 | 6/30/2007 | $56.25 |
| 2,934,990 | 6/30/2008 | $38.01 |
| 2,468,091 | 6/30/2009 | $28.45 |
| 2,409,165 | 6/30/2010 | $40.84 |
| 2,257,421 | 6/30/2011 | $55.46 |
| 2,257,421 | 9/30/2011 | $43.65 |
| 2,180,892 | 12/31/2011 | $43.01 |

**PIF3's Performance History (Net to Investors)**

| No. of Units | Date | PIF3 NAV |
|---|---|---|
| 65,100 | 2/1/2002 | $10.00 |
| 265,919 | 12/31/2002 | $9.48 |
| 485,041 | 12/31/2003 | $18.63 |
| 1,774,753 | 12/31/2004 | $21.37 |
| 2,478,793 | 12/31/2005 | $21.32 |
| 2,930,608 | 12/31/2006 | $29.37 |
| 6,438,615 | 12/31/2007 | $27.09 |
| 5,415,189 | 12/31/2008 | $10.57 |
| 5,038,658 | 12/31/2009 | $23.79 |
| 4,885,267 | 12/31/2010 | $31.95 |
| 4,701,613 | 12/31/2011 | $26.92 |

**PIF4's Performance History (Net to Investors)**

| No. of Units | Date | PIF4 NAV |
|---|---|---|
| 595,030 | 10/1/2003 | $10.00 |
| 1,219,330 | 12/31/2003 | $10.84 |
| 5,627,712 | 12/31/2004 | $12.40 |
| 9,314,803 | 12/31/2005 | $13.01 |
| 11,528,331 | 12/31/2006 | $17.23 |
| 16,899,746 | 12/31/2007 | $16.64 |
| 15,737,042 | 12/31/2008 | $6.66 |
| 15,725,066 | 12/31/2009 | $14.57 |
| 15,251,129 | 12/31/2010 | $19.05 |
| 14,493,713 | 12/31/2011 | $16.24 |